



DETROIT/WAYNE COUNTY PORT AUTHORITY

RECEIVED
2011 DEC 28 PM 1:22

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

December 19, 2011

Karen V. Gregory
Secretary
Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573-0001

Subject: Docket No. 11-19, U.S. Containerized Cargo Flows - Response to NOI

Dear Secretary Gregory:

I would like to include my comments in response to the Federal Maritime Commission's Notice of Inquiry on factors that cause or contribute to the shift of cargo destined for the U.S. inland from U.S. to Canadian and Mexican seaports.

Given the fact that I serve as the Executive Director of the Detroit Wayne County Port Authority and as the former US Maritime Administration Deputy Administrator, I would like to inform you of the significant importance of trade here in Michigan. In fact our economy depends on much of this trade because our manufacturing base is typically tied to the automotive industry. In addition:

237,100 jobs depend on Canada-U.S. trade
241 Canadian-owned companies in Michigan employ 26,842 people
Total Canada-U.S. goods and services trade is \$627 billion per year
Michigan sells more goods to Canada than to any other country in the world

We just completed an Economic Impact Study for the Port of Detroit which measured the following categories:

- Surface transportation sector
- Maritime services sector
- Shippers/consignees using the port
- Port authorities/Seaway authorities

The jobs report was good and I think it is important for you to recognize not only its impact, but our ability to grow this trade

15,459 jobs in Michigan were supported by the cargo moving via the marine terminals located at the Port of Detroit

- Of the 15,459 jobs, **5,622 jobs** were directly generated by the marine cargo and vessel activity at the marine terminals at the Port of Detroit.
- As a result of the local and regional purchases by those 5,622 individuals holding the direct jobs, an additional **4,256 induced jobs** were supported in the regional economy.
- **5,582 indirect jobs** were supported by \$433.2 million of regional purchases by businesses supplying services at the marine terminals at the Port of Detroit.

Karen V. Gregory
Page Two
December 19, 2011

As my other transportation colleagues have stated in their public comments, the Harbor Maintenance Tax is often viewed as a double tax on goods moved by water because they get taxed when they arrive in the USA, then get taxed again if we move it by water domestically. If a shipper moves their products on our surface transportation system to avoid this double taxation, our roads become more congested, we have more traffic related fatalities and a higher rate of NOX/SOX emissions.

When our neighboring country (Canada) aggressively goes after our business, they always point out our HMT Tax as an additional cost to the shippers. Canada has made a substantial investment in their port and rail infrastructure and in Michigan, we struggle everyday to improve opportunities for companies and their related jobs to come to locate here. This is in itself a difficult challenge given the fact that Windsor Ontario is $\frac{1}{4}$ mile away across the Detroit River. While it is true that US businesses use Canadian seaports for many different reasons, we think the HMT Tax does play a role in their decision to move freight through Canadian ports.

Please recognize that the impact of eliminating this tax could be neutral because in most cases, it is not paid to begin with, given the fact that our companies move freight domestically on our roads and highways. The reason for this is that they pay the HMT when their products first land in the USA and instead of paying it twice, they use trucking or rail to avoid paying it. Thus, the HMT becomes a disincentive to create new water route corridors known as Coastal, Short Sea Shipping or Marine Highways.

In conclusion, I encourage the Federal Maritime Commission to look at both the HMT itself and the problems it creates, including hurting domestic employment. As for the revenue it raises, our industry only asks that our government use this funding for its original intended purposes; that is to spend the funding appropriately to improve our maritime systems infrastructure and dredging.

We are not in the business of helping foreign ports and their railroad systems. We are in the business of helping American ports, shipping a employment security. The FMC has a wonderful opportunity to accomplish this by listening to American ports and protecting American maritime related jobs.

Thank you for your consideration to comment on this important issue,

Sincerely,



John Jamian
Executive Director